
Bi-Weekly Newsletter



2 March 2026

Oil

Oil has oscillated between two realities over the last two weeks. On one side is geopolitics, which includes dramatic headlines, military deployments, and talk of escalation. On the other hand, there is a quieter but structurally significant story of ample supply and moderated demand growth.

Brent is trading at \$71-72 per barrel this week, with West Texas Intermediate (WTI) reaching \$65-66, representing a 5% weekly increase and pushing prices to six-month highs. However, the question is not whether oil has moved, but why it has moved and if that movement is sustainable.

The current answer is geopolitical premium.

Oil prices



The Strait of Hormuz: The Market's Leverage Point

The Strait of Hormuz transports around 20 million barrels per day, which accounts for nearly one-fifth of world petroleum consumption. That single data explains the majority of the present price movement.

Tensions between the United States and Iran have risen, with nuclear discussions making little progress as the US military presence in the area grows. President Trump has openly said that Iran has a 10-15 day window to strike an agreement before alternative actions are considered. Iranian military operations in the Strait have heightened the psychological stress.

It's critical to distinguish between signals and disturbance. Currently, no barrels have been physically taken from the market. However, oil does not wait for supply to run out before repricing risk. Analysts believe that a geopolitical premium of \$3-\$7 per barrel is presently reflected in pricing.

The positive scenario is asymmetrical. If infrastructure or shipping lines were actively attacked, price forecasts immediately rose to \$80-\$100 per barrel. However, if diplomacy triumphs, that premium might be eliminated just as soon.

Oil is traded based on possibilities, not scarcity.

Inventories and the Reality of Supply

Remove geopolitics, and the physical background becomes significantly less striking.

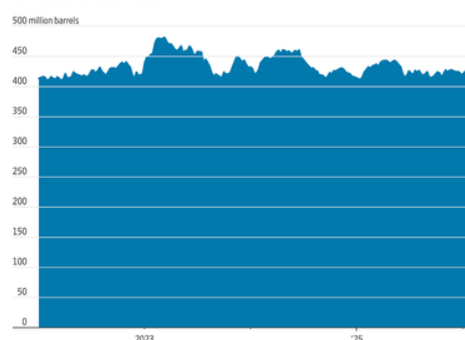
The International Energy Agency (IEA) anticipates global supplies to recover after January's weather-related interruptions briefly reduced North American output. US crude output remains high, at around 13.7 million barrels per day. OPEC+ production fell in January but has the potential to expand output in the second quarter provided prices stay favourable.

Recent US inventory data supports this balanced picture. An unexpected 8.5 million barrel gain was followed by a 9 million barrel drop the next week, driven mostly by movements in imports and exports rather than structural tightness. Commercial crude stockpiles are only slightly below five-year norms.

In other words, the market is not depleted of barrels.

Even OPEC's demand predictions remain stable rather than increasing, with growth projected but not dramatic. Meanwhile, the IEA reduced its 2026 demand growth forecast to about 850,000 barrels per day, citing macroeconomic uncertainties and increased price sensitivity.

The underlying story emphasises sufficiency rather than shortage.



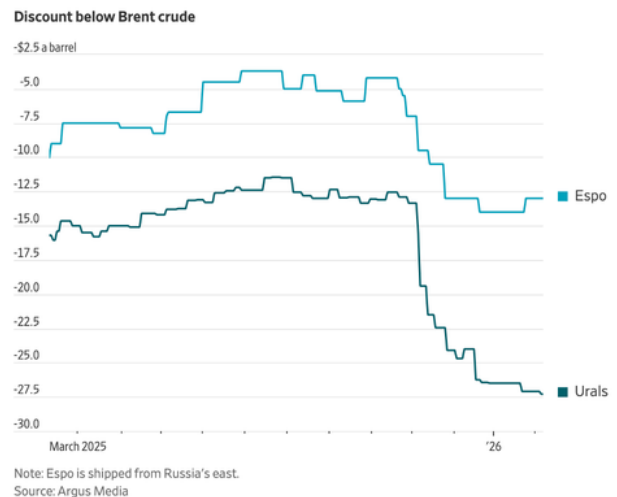
Source: U.S. Energy Information Administration

Russia: The Discounted Shadow Supply

Russia is another undercurrent that is impacting the market. Urals crude continues to trade at a substantial discount to Brent, allegedly about \$27 lower. Millions of barrels sit floating, waiting for customers, as sanctions and vessel seizures disrupt shipments.

India has cut its purchases in response to US pressure, while China's independent refiners are selectively accepting cheaper cargoes. If geopolitical situations change or sanctions enforcement eases, those barrels may make their way more effectively into pricing centers.

The latent supply serves as a ceiling. The market may be emotionally tight, but there is spare crude searching for a home.



OPEC+, Venezuela, and Strategic Optionality

OPEC+ has suspended production increases until March, although talks of restarting moderate rises in Q2 have entered market conversation. Saudi Arabia has recently reduced its official selling prices to Asian customers, indicating prudence rather than confidence.

At the same time, US policy reforms have reopened the way to further foreign investment in Venezuela's oil sector. While near-term output gains will be limited by infrastructural and capital obstacles, the signalling impact is important. It promotes the notion that more supply may be mobilised if prices climb too quickly.

The market understands that there is supply-side flexibility.

Technicals and the \$70 Question

From a technical sense, WTI faces a cluster of past highs in the \$62-\$63 range, which are presently functioning as short-term support. Brent is lingering around \$72, putting it in psychologically key area but not firmly over long-term resistance.

The overall structure suggests a volatile sideways range rather than a breakthrough. Upside momentum appears to be driven more by headlines than by trends.

Absent physical interruption, sustained movements over the mid-\$70s would likely need either demand surprise or true supply elimination.

Final Thoughts: A Premium Looking for Confirmation

Oil in February 2026 is stuck between two opposing forces. Geopolitics is noisy, urgent, and capable of dramatic price changes. Fundamentals are softer, more gradual, and convey a sense of relative equilibrium.

If escalation leads to physical disturbance, the upside risk is high. If diplomacy holds, the present premium may shrink, exposing a market that is still experiencing moderate demand growth and enough supply.

For the time being, oil pricing uncertainty rather than scarcity.

The next two weeks will determine whether that uncertainty turns into turmoil or if fundamentals quietly retake control.

– **Pranav Sharma**

*Vice Head of Alternate Investments,
Head of Commodities*

Evaluating Gold's Effectiveness as an Inflation Hedge and Safe Haven

This report evaluates the effectiveness of gold as a hedge against inflation and examines its role as a safe haven asset within investment portfolios.

Gold has long been valued as a store of value and symbol of wealth, historically functioning as a form of currency and maintaining enduring economic relevance. Today, demand for gold is driven by its use in jewelry, technology, and investment, reflecting both its physical utility and financial significance.

As an investment asset, gold is widely held due to its perceived ability to preserve purchasing power over long periods and its low correlation with traditional asset classes such as equities and bonds. Its high liquidity and absence of credit risk make it attractive to investors seeking protection during periods of market volatility, geopolitical uncertainty, and currency depreciation.

Gold can enhance portfolios by delivering long-term returns, improving diversification, and providing liquidity.

In an increasingly fragmented geopolitical environment, gold remains a uniquely resilient asset. Unlike government bonds, which are exposed to sovereign credit and political risks, gold is a non-sovereign store of value, making it particularly attractive to investors seeking diversification in a multipolar global economy.

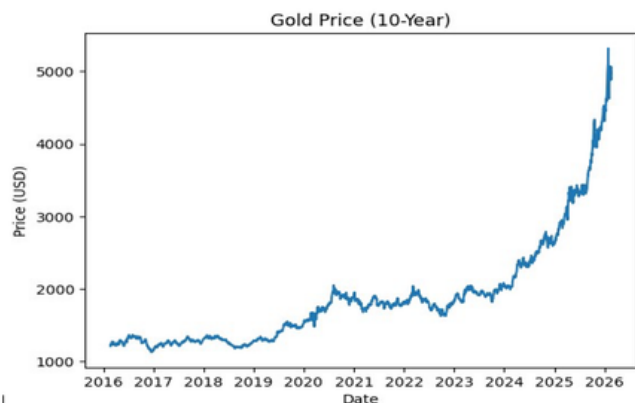


Figure 1 Gold 10 Year Returns

Is Gold an Inflation Hedge?

Inflation has emerged as a primary concern for investors, prompting a growing focus on assets that can protect against declines in purchasing power. Historically, gold has often been viewed as an inflation hedge, particularly during periods of rising prices.

One of the most inflationary periods in recent history occurred between 1973 and 1979, when average annual inflation in the US was around 8.2%, largely driven by rising oil prices. During this period, gold gained nearly 35% annually, supporting its role as an inflation hedge. However, once inflation was brought under control through sharply higher interest rates, gold's performance weakened, with several periods of negative returns between 1975 and 1985, including a decline of over 30% in 1981.

A more recent inflationary episode occurred in 2021–2022, when inflation exceeded 9% due to supply chain disruptions, increased government spending, and low interest rates. Gold reached a cyclical high of around USD 2,050 in March 2022, consistent with its reputation as an inflation hedge. However, as the Federal Reserve raised interest rates aggressively, gold prices fell by more than 20%, reflecting the negative impact of higher real yields and a stronger US dollar.

These historical and recent episodes illustrate that while gold can perform well during periods of rising inflation, tightening monetary policy can weaken its effectiveness as a hedge. Although gold may not act as a perfect hedge at all times, its average annual return of around 8% over the past 50 years suggests it can provide inflation-beating returns over the long term despite periods of volatility.

To further examine the relationship between gold and inflation, a regression analysis was conducted using European inflation proxy returns as a forward-looking measure of inflation expectations. This approach is appropriate given the global nature of gold markets, where price dynamics are influenced by broad macroeconomic conditions rather than a single domestic inflation measure.

The scatter plot indicates a weak positive relationship between gold returns and the inflation proxy, as evidenced by the slightly upward sloping regression line and the wide dispersion of observations. The estimated correlation coefficient of 0.16 further supports this finding, suggesting that while gold tends to move in the same direction as inflation expectations, the relationship is not strong or consistent.

These results imply that gold may offer some degree of inflation protection but is unlikely to function as a reliable standalone hedge. Instead, the evidence supports the view that gold is better characterised as a partial or conditional hedge, serving primarily as a diversifier rather than a precise tool for hedging inflation risk.



Figure 2 Pearson Correlation between Gold and European Inflation Proxy Daily Returns: 0.1697

Is Gold a Safe Haven Asset?

Gold often has a low or negative correlation with traditional asset classes such as equities and bonds. This means that during periods of market turbulence, gold prices may remain stable or even increase, providing protection against market downturns. This characteristic underpins its reputation as a safe haven asset within diversified portfolios.

Empirical evidence supports this view. Figure 3 shows the relationship between gold daily returns and equities (S&P 500) daily returns, with a Pearson correlation coefficient of 0.0299. The near-zero correlation indicates that gold moves largely independently of equity markets, reinforcing its role as a diversifier. This weak relationship suggests that gold can help reduce overall portfolio volatility, particularly during periods of market stress.

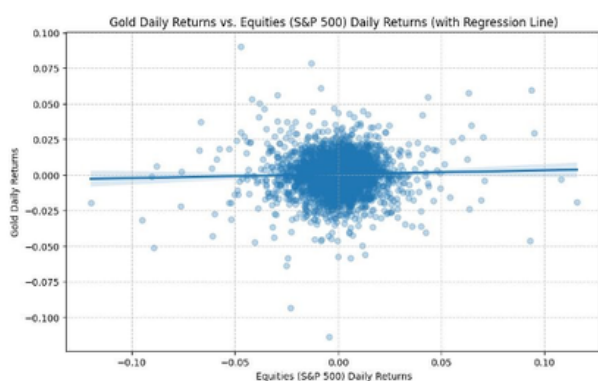


Figure 3 Pearson Correlation between Gold and Equities (S&P 500) Daily Returns: 0.0299

This robust performance is not surprising. With few exceptions, gold has been particularly effective during times of systemic risk, delivering positive returns and reducing overall portfolio losses.

Historical evidence further supports gold's safe haven characteristics. Since 1973, approximately eight US recessions have been documented, and in six of these episodes gold outperformed equities (S&P 500) by an average of 37%. The exceptions were the 1981 and 1990 economic slowdowns. A closer examination of the 1981 recession shows that aggressive interest rate hikes to combat rising inflation increased the attractiveness of interest-bearing assets relative gold. In contrast, the 1990 downturn occurred when major central banks were net sellers of gold, placing downward pressure on prices.

Figure 4 shows that gold significantly outperformed other asset classes during the downturn, delivering a return of 21.36% while equities fell by 33.36%. Other defensive assets such as Treasuries and the US dollar posted modest gains, but gold's strong performance highlights its effectiveness as a safe haven and its ability to provide protection during periods of market stress.

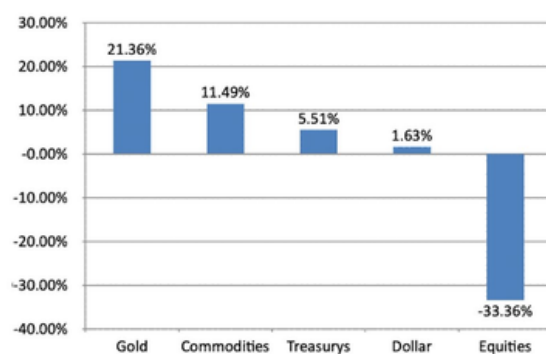


Figure 4 Asset Performance During Bear Markets

Conclusion

This report set out to evaluate the effectiveness of gold as a hedge against inflation and its role as a safe haven asset within diversified investment portfolios. The findings indicate that while gold does not consistently function as a precise hedge against inflation, it demonstrates characteristics of a countercyclical asset, providing protection during periods of economic stress and heightened market volatility.

The empirical analysis shows that gold exhibits weak correlation with inflation measures and near-zero correlation with equities, suggesting that its primary benefit lies not in directly tracking inflation, but in enhancing portfolio diversification and reducing overall risk. Historical evidence further supports this view, as gold has tended to perform strongly during periods of systemic uncertainty and market downturns, reinforcing its reputation as a defensive asset.

While gold can experience periods of underperformance, particularly during cycles of rising real interest rates, its long-term return profile and ability to preserve purchasing power highlight its enduring relevance as a strategic asset. The evidence therefore suggests that gold should not be viewed as a perfect inflation hedge, but rather as a partial hedge and effective safe haven that complements traditional asset classes.

From a portfolio management perspective, gold's low correlation with equities and bonds, combined with its resilience during periods of financial stress, supports its role as a valuable diversifier within multi-asset portfolios. As global macroeconomic uncertainty and geopolitical risks persist, gold is likely to remain an important component of strategic asset allocation frameworks.

– **Charles Coyle**
Commodities Analyst

Nickel's introduction

Nickel is widely used as a component for stainless steel. However, we would be more familiar with its use in rechargeable batteries. Specifically, it being used in newer batteries that allow for more energy dense batteries. The likes of which would be in our phones, laptops, computers and more recently in battery electric cars and vehicles.

Nickel price

On a 3-month time frame, nickel is trading between \$17,670 - \$17,880 per tonne. Looking further back we saw nickel being a price of \$8,315 per tonne at the very start of the year 2000. This means that in 20 years years nickel has seen a 213% price increase.

This means that in 20 years years nickel has seen a 213% price increase. This is without looking at the peak of nickel, which was in May 2007 at a price of \$51,783.

Nickel Futures



Looking into the future

There are reasons to be optimistic about nickel. Firstly, batteries that are primarily made out of nickel have proven to have a longer life span and to also be more energy dense. At the moment, nickel is also seen as a cheaper alternative to materials such as cobalt or lithium that are also used in batteries. Secondly, Europe plans to reduce tailpipe emissions from cars by 2035. Why is this important? The replacement for these internal combustion engines will most likely be battery electric vehicles which heavily use nickel to create them.

To get an idea of just how much the demand for electric cars has grown in the past couple of years, a report by IEA found that at the end of 2024 there were 58 million battery electric cars. This was a three-fold increase from the same time in 2021. It does not look like this trend will stop any time soon as more governments are continuing to incentivise consumers to purchase battery electric vehicles.

Although battery electric vehicles are likely to be the main drivers behind the future rise of nickel, we can also look at other industries that are likely to drive

this rise in demand. One such industry would be battery storage industries. These have been popping up to store energy which is being produced by various renewable sources such as solar and wind, which do not produce a steady flow of energy.

The increase in this battery storage capacity is mainly driven by the efforts of governments around the world to produce more renewable energy. In Europe alone, the most recent study found that in 2024 Europe had 61.1 GWh. The current goal is that by 2030, Europe will have a total 400 gigawatt hours of energy storage capacity. Although, at the moment we do not know what type of batteries will be used, we have seen that batteries which are rich in nickel tend to have a longer life span and are also more energy dense. As a result, we could assume that these battery storage facilities will incorporate a noticeable amount of nickel in their products. Needless to say, this would drastically increase the demand for nickel.

I fully believe that, at the moment, the market price and value of nickel are not aligned properly. This is normal for markets; to prove this point we can take a look at gold. Gold is largely used by investors as a hedge against inflation. As a result, we would've expected gold to rise heavily from late 2021 to late 2022, when inflation unexpectedly rose to highs of 8% in the US. This rise in inflation was only reflected in gold only at the start of 2025 with gold futures rising by 71% throughout 2025.

Historical price of gold



Source: macrotrends

To add on to growing electricity storage demand, nickel batteries have a longer life span than other batteries. As we have also seen, value and price in the global markets aren't always properly aligned. However, in the long run this all should get solved, and markets tend to properly reflect the value of an asset in the market price.

Conclusion

To conclude, although the future may seem uncertain, nickel does have a lot of factors in its favour. Firstly, we are seeing that the demand for electricity is growing.

– **Michael Sobor**
Commodities Analyst

The Silver Crash: A Monetary Correction or an Industrial Repricing?

Throughout the last fifty years, silver has occupied a uniquely ambiguous position in global markets. On the one hand, it is a stereotypical safe-haven asset which, like gold, responds sensitively to fiat currency fluctuations and macroeconomic sentiment. On the other, it is an essential industrial input used in the manufacture of a wide range of modern technologies. This dual identity of the metal as a monetary hedge and an industrial commodity, combined with recurring supply deficits and deep liquidity, has made silver one of the most volatile and unpredictable assets in global finance, earning it the nickname 'the Devil's Metal'.

In 2025, silver surged by roughly 150%, becoming one of the most attractive assets for both retail and institutional investors. Fuelled by a dovish macroeconomic outlook and a boom in electronic manufacturing, it continued climbing aggressively into early January, reaching a record high of \$115 per troy ounce.

Yet much of this gain was erased on January 30, when what appeared to be a leveraged-based unwinding wiped out trillions of dollars in market value within twenty-four hours. The key question was whether this dramatic reversal represented a systematic change or merely a macroeconomic adjustment.

To understand the crash, one must first understand the rally. The original investment thesis rested on two pillars: a deteriorating macroeconomic outlook and surging industrial demand. Silver's ascent was, at least initially, rational. Supply deficits widened amid mine closures across Central and South America, tightening physical markets. At the same time, industrial demand strengthened significantly. Silver is a crucial component in electric vehicles, solar panels, semiconductors, and advanced battery technologies. As global electrification and green energy initiatives accelerated, so too did structural demand for the metal.

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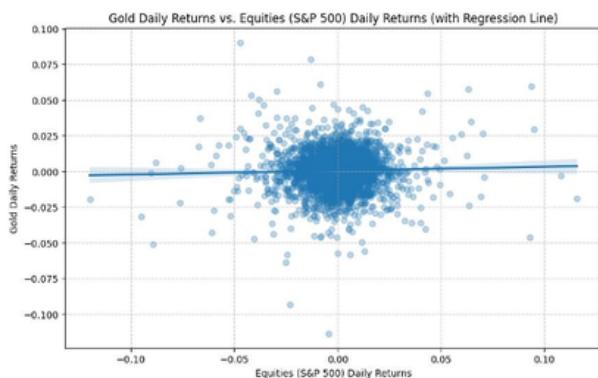


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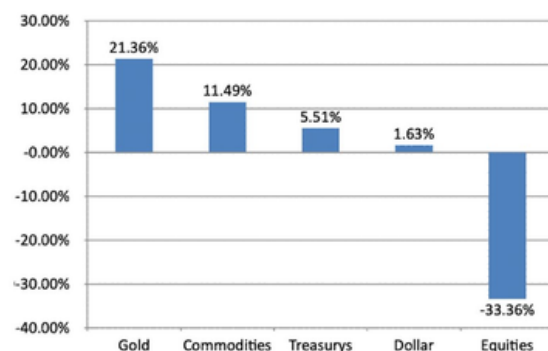


Figure 4 Asset Performance During Bear Markets

Silver COMEX (US Dollars per Troy Ounce)



Source: S&P Capital IQ

The macro backdrop further supported the rally. An aggressive tariff posture under the Trump administration and rising geopolitical tensions weakened the dollar, pushing investors toward precious metals as defensive assets. Lower real rate expectations enhanced the appeal of non-yielding assets like silver, reinforcing upward momentum.

However, these fundamentals also attracted speculative excess. Retail investors, galvanized by social media communities, poured into silver-related products, many using leverage. This wave of aggressive positioning pushed prices far beyond long-term technical indicators. As is often the case, momentum amplified itself.

By late January, cracks began to form. The macroeconomic outlook improved: the dollar strengthened, the yield curve steepened, and U.S.-Ukraine peace negotiations, alongside easing tariffs, reduced geopolitical risk. Expectations for higher interest rates were revised upward, pressuring non-yielding assets across the board. Simultaneously, demand destruction became a real concern. At elevated prices, manufacturers began seeking substitutes. Even in green technology, substitution emerged; LONGi Green Energy, one of China's largest solar panel producers, reduced its reliance on silver in photovoltaic cells.

The weakening of both pillars, the macroeconomic pessimism and industrial indispensability, undermined the bullish thesis. The final blows were technical and political. The announcement on January 30th that Kevin Warsh would become the next Federal Reserve Chair amplified hawkish expectations, accelerating the sell-off in non-yielding assets. The same day, the Chicago Mercantile Exchange (CME) raised margin requirements, forcing many leveraged investors to liquidate. From there, stop losses were triggered and algorithmic trading cascaded into a full-scale deleveraging event.

So was this a monetary correction or an industrial repricing? The evidence suggests it was neither in isolation, but the monetary dimension proved more fragile. Industrial demand for silver in solar panels, semiconductors, and electric vehicles, did not evaporate. Instead, it softened at the margins as manufacturers sought substitutes at elevated prices. On the other hand the monetary case unravelled more decisively: the dollar strengthened, rate expectations shifted hawkish, and geopolitical risk eased. It was the collapse of the macro thesis, amplified by leveraged positioning, that did the real damage. Silver's industrial story remains broadly intact but its monetary premium has been substantially debased. In that sense, the crash was primarily a monetary correction built on top of an industrial repricing and understanding that distinction matters enormously for anyone trying to assess where silver goes from here.

– **Matthew McKeown**
Commodities Analyst
